TRACKHAWK ADVISORS

Case Study: Caliber and Crash Champions Acquire Key Collision

Announced August 31, 2026 | Updated as of Oct-26

CRASH CHAMPIONS COLLISION REPAIR TEAM

CALIBER COLLISION

Key Collision

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Transaction Summary

Sale of Key Auto Group's Collision Platform

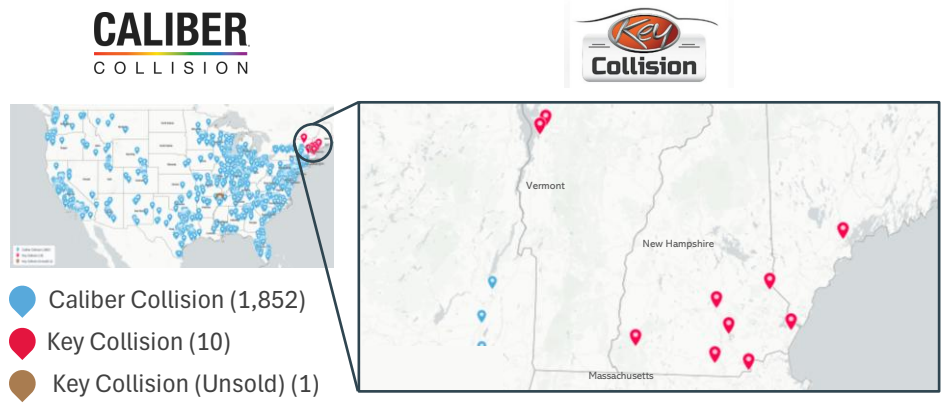
- Key Auto Group, a franchised car dealer with 23 dealerships across 7 states, established an independently operated collision center platform with 12 locations – 10 in New England, 1 in MS, and 1 in TN
- Each Key Collision site was a standalone facility on its own parcel, with the real estate owned by Key Auto Group
- In 2 separate transactions in Aug/Sept-26, 10 Key Collision shops in New England were sold to Caliber Collision, and 1 shop in Mississippi was sold to Crash Champions (Key retained 1 shop in Memphis)

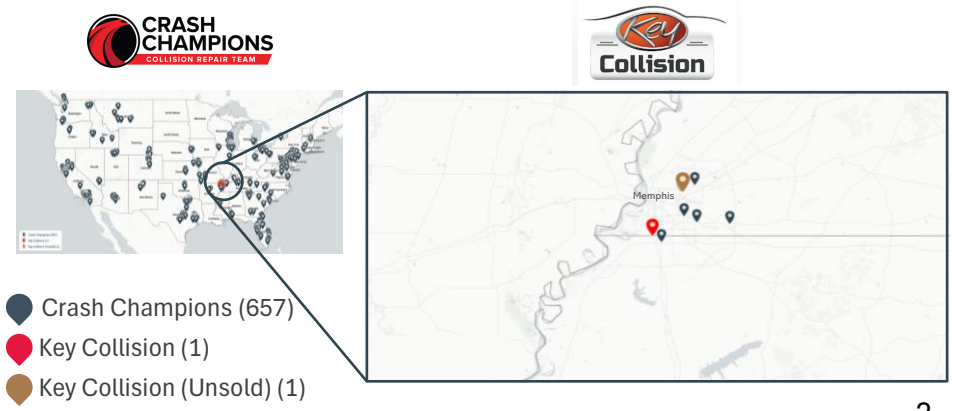
Buyers

- **Caliber**: Largest collision repair operator in the U.S., with 1,850+ locations in 44 states
  - Acquired by Hellman & Friedman in 2019 and merged Caliber with ABRA Auto Body
- **Crash Champions**: 3rd largest collision repair operator in the U.S., with 650+ locations in 38 states
  - Backed by Clearlake Capital since 2022 and merged with Service King

Transaction Takeaways

- The Key Collision centers were an attractive regional platform to the MSOs and traded at premium **10x+ Purchase Price / EBITDA valuation multiple** and entered into **long-term leases** with Crash and Caliber for the real estate
  - With high-quality tenants in long-term leases, Key has the option to sell the real estate to a REIT in the future
  - MSO-leased collision properties typically sell to investors at 5.5% to 6.5% cap rates
- Large, standalone, I-CAR Gold-certified facilities averaging ~18k sqft were instrumental in a higher valuation
  - Well-equipped shops with financials separate from the dealership required minimal capital investment
- Despite NH, VT, and ME having relatively low population densities (ranked 21st, 31st, and 38th, respectively) these locations present attractive opportunities for MSOs because of lower competitor concentration





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Industry Structure - Consolidation Economics and Key Considerations

Why the Rollup Works

- U.S. collision repair is roughly a **$48bn** market spread across ~40,000 shops, among the most fragmented segments in automotive services, with a decades-long runway of acquisition targets at single-operator prices
  - The underlying market grows only **~3%** a year, so a growth thesis depends on continued share gain and integration, not a rising tide
- **Scale converts directly into insurer Direct Repair Program (DRP) volume, a vital demand lever**
  - Insurers value the ease that MSOs bring from an administrative standpoint. They direct traffic to MSOs through DRPs. The value of DRP relationships is transferred to each subsequently acquired collision center
  - Consolidators run larger, higher-throughput shops, so revenue share runs at more than twice location share – the core economic argument for scale
- **Multiple arbitrage makes smaller add-on acquisitions accretive to scaled platforms**
  - Independents transact at small-business multiples, while the platform is valued as a national network
- Fixed costs in calibration, training, and technology spread across a larger base support cost synergies
- **Self-funded tuck-ins:** add-ons like Key Collision can be paid for from operating cash flow and the existing $625mm revolver, so deals close without new financing
- **Real estate arbitrage:** consolidators buy the seller's real estate at appraised value, then sell it to a REIT under a long-term leaseback at a premium, using the gain to fund the goodwill paid for the business

Key Considerations

- Competition for targets is intense: ~130 PE firms and more than **$9bn** capital deployed since late 2023, supporting seller pricing

Market Structure

Metric	Value
U.S. Collision Repair Market	~$48bn
Approximate Shop Count	~40,000
Big 4 Locations (mid-2025)	4,024
Big 4 Share of Shops	~10%
Big 4 Share of Revenue	~32%

Big 4 defined as the largest 4 collision MSOs: Caliber, Gerber, Crash Champions, and Classic

Caliber's Position

Metric	Value
Locations	1,850+
States	44
Share of U.S. Shops	~5%
Share of Big 4 Locations (mid-2025)	~46%

Boyd Group Services', parent company of Gerber Collision, Jan-26 acquisition of Joe Hudson's has since made the Big 5 into the Big 4

Notes: Big 4 Data is as of mid-2025. Shop count is implied by the Focus Advisors share data
Sources: Publicly available information from company press releases, and third-party estimates from Focus Advisors, Mordor Intelligence, and Trade Press